

The price of American Water Works common in 1933 was apparently based on the reported earnings for previous years, without allowance for the fact that the retirement allowance was definitely inadequate. A good part of the decline in the amount available for the common seven years later was due to the necessity for increasing the retirement allowance in line with the general tendency.

The Pacific Gas and Electric exhibit is appended to demonstrate that the public-utility stock buyer could have obtained much more for his money in 1933 had he been willing to scrutinize depreciation policies with care.